

Not Adjusted for Inflation

	(1) OLS	(2) OLS	(3) OLS	(4) FE	(5) FE	(6) FE
PolExpCapita	0.0222*** (0.0026)	0.0225*** (0.0026)	0.0166*** (0.0022)	0.0092*** (0.0023)	0.0106*** (0.0029)	0.0105*** (0.0029)
PPSA	0.0015** (0.0007)	0.0016** (0.0007)	0.0010 (0.0006)			
Post2012	0.0018** (0.0007)	0.0018** (0.0007)	0.0022*** (0.0006)	0.0017*** (0.0005)	0.0017*** (0.0006)	0.0018*** (0.0005)
PolExpCapita * PPSA	-0.0124** (0.0051)	-0.0123** (0.0050)	-0.0089** (0.0039)	-0.0024 (0.0031)	-0.0034 (0.0035)	-0.0033 (0.0035)
PolExpCapita * Post2012	-0.0118*** (0.0028)	-0.0116*** (0.0028)	-0.0117*** (0.0026)	-0.0074*** (0.0020)	-0.0074*** (0.0020)	-0.0075*** (0.0020)
PPSA * Post2012	0.0001 (0.0008)	0.0002 (0.0008)	-0.0010 (0.0008)	-0.0011* (0.0006)	-0.0011 (0.0006)	-0.0011* (0.0006)
PolExpCapita * PPSA * Post2012	0.0021 (0.0039)	0.0018 (0.0038)	0.0044 (0.0040)	0.0062** (0.0027)	0.0062** (0.0029)	0.0062** (0.0029)
ControlRevCapita		-0.0013 (0.0010)	-0.0005 (0.0010)		-0.0022 (0.0025)	-0.0022 (0.0025)
UncondGrantCapita			0.0097*** (0.0013)			0.0010 (0.0013)
Controls	None	CtrlRev	Full	None	CtrlRev	Full
Entity FE	No	No	No	Yes	Yes	Yes
<i>N</i>	2100	2100	2100	2100	2100	2100
<i>R</i> ²	0.2043	0.2123	0.3320	0.1157	0.1354	0.1368

Standard errors clustered by municipality in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

ControlRevCapita = (Total Revenue – Warrant – Unconditional Grant) / capita.